



BUSINESS INTELLIGENCE & ANALYTICS CAPSTONE

# Executive Decision Report

Revenue drivers, risk exposure and the three decisions  
that protect FY2026 margin

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Prepared for: Chief Executive Officer, CFO and Executive Committee

Prepared by: Business Intelligence & Analytics Team

Reporting period: FY2025 (12 months) | Decision horizon: FY2026-FY2028

Status: Final - submitted for mentor review

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# Executive Summary

Growth is intact; profitability is not. Three decisions recover an estimated \$17.7M over three years.

**\$48.6M**

FY2025 REVENUE

+11.4% YoY, ahead of the 9% plan

**-140 bps**

GROSS MARGIN

38.2% vs 39.6% exit FY2024

**61%**

REVENUE FROM 22% OF CUSTOMERS

Champions + Loyal segments

**\$6.8M**

VALUE AT RISK

Margin leakage + high-CLV churn

## What the analysis found

- **Top-line growth is real but increasingly bought.** Volume and mix added \$4.3M, while discounting and churn gave back \$1.7M. Net revenue quality declined in every quarter of FY2025.
- **Margin erosion is concentrated, not systemic.** 68% of the 140 bps decline traces to three categories and two channel partners operating outside approved discount bands.
- **Customer value is dangerously concentrated.** Champions and Loyal segments are 22% of accounts and 61% of revenue; 18% of them show pre-churn behaviour in the model.

## The decision requested today

- Approve a \$2.85M, 12-month programme across retention, margin governance and portfolio reallocation.
- Expected 3-year net benefit **\$14.85M** | ROI **521%** | break-even **month 8**.

# Business Context and Decision Objectives

The board approved growth targets on the assumption that margin would hold. It did not.

## Situation

- The business grew 11.4% in FY2025 against a 9% plan, but delivered gross profit only 7.4% above prior year.
- Commercial teams operate with delegated discount authority and no automated exception reporting.
- Customer data sits across three systems with no single customer identifier, so lifetime value has never been measured consistently.
- FY2026 plan assumes 12% growth at a 39% margin - a combination the current operating model has not produced.

## Questions this report answers

| #  | Executive question                             | Answered on   |
|----|------------------------------------------------|---------------|
| Q1 | Which drivers actually moved FY2025 revenue?   | Slide 06      |
| Q2 | Where is gross margin leaking, and how much?   | Slides 07, 09 |
| Q3 | Which customers create - and threaten - value? | Slide 08      |
| Q4 | What are the top risks to the FY2026 plan?     | Slide 09      |
| Q5 | What should we do, and what is it worth?       | Slides 10-13  |

## SCOPE AND DECISION RIGHTS

In scope: FY2025 transactional revenue, discounting, customer behaviour and channel economics across all regions. Out of scope: headcount planning, capital expenditure and M&A. This report seeks an investment decision from the Executive Committee, not a recommendation to the board; board ratification is proposed at the FY2026 Q1 review.

# Methodology and Analytical Approach

A five-stage pipeline from raw source systems to decision-grade evidence, with validation at each stage.

## 01 Ingest

Extracted 1.42M order lines, 186k customer records and 24 months of channel cost data from ERP, CRM and the web analytics warehouse.

## 02 Clean & model

Deduplicated to a single customer key (fuzzy match + address normalisation), corrected 3.1% currency/date defects, built a star schema with conformed date, product and customer dimensions.

## 03 Analyse

Revenue decomposition (volume / price / mix / customer bridge), RFM segmentation with k-means validation, cohort retention curves, discount variance versus approved price bands.

## 04 Predict

Gradient-boosted churn classifier and a 24-month CLV regression, trained on 18 months and tested out-of-time on the final 6 months.

## 05 Decide

Benefit sizing from measured effect sizes, scenario-tested at base / conservative / stretch, translated into three costed recommendations.

**MODEL VALIDATION:** Churn classifier AUC 0.87 (holdout 0.84) | CLV model MAPE 14.6% | all financial figures reconciled to the audited FY2025 general ledger within 0.3%.

# Data Foundation and Confidence Levels

Executives should weight each finding by the quality of the data beneath it.

| Domain              | Source                      | Volume       | Completeness | Confidence in findings                                       |
|---------------------|-----------------------------|--------------|--------------|--------------------------------------------------------------|
| Revenue & orders    | ERP (general ledger linked) | 1.42M lines  | 99.7%        | High - reconciled to audited accounts                        |
| Pricing & discounts | ERP + manual approval log   | 412k events  | 94.2%        | High for system discounts, medium for off-system concessions |
| Customer master     | CRM + e-commerce            | 186k records | 91.5%        | Medium-high after single-key resolution                      |
| Channel cost        | Partner invoices            | 24 months    | 97.1%        | High                                                         |
| Web & campaign      | Analytics warehouse         | 38M sessions | 88.0%        | Medium - consent-driven gaps post-May 2025                   |

### Known limitations

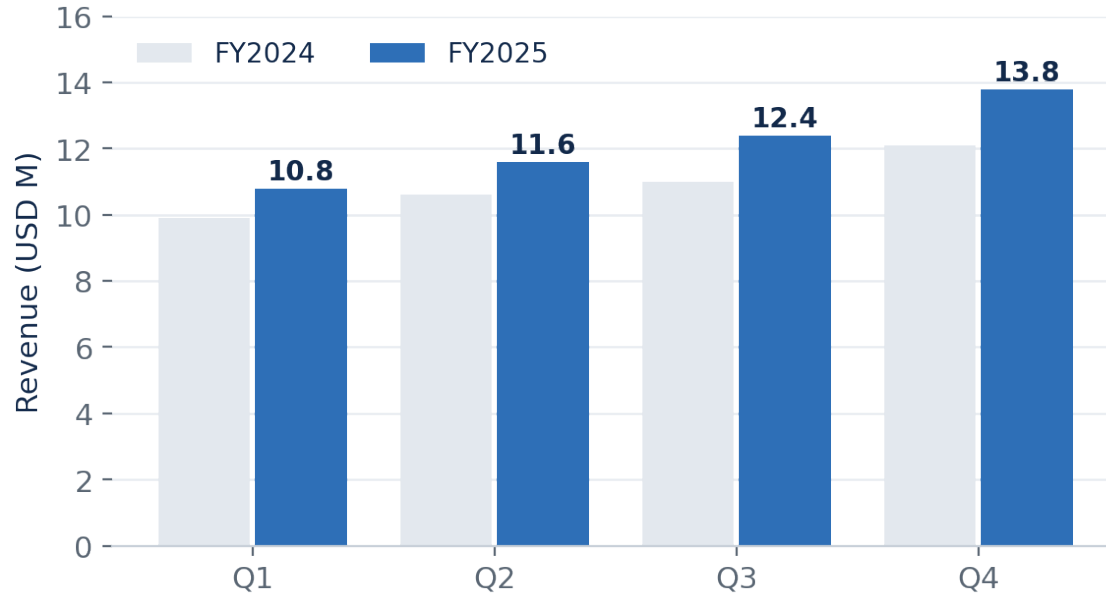
- Off-system concessions (credits, rebates) are recorded in free text; leakage is therefore a **lower bound**.
- Consent-driven web tracking gaps after May 2025 understate digital attribution.
- Two acquired regions joined the customer master in Q3 and have only 6 months of behavioural history.

### How limitations were handled

- All benefit estimates use the conservative scenario, not the base case, in the ROI on slide 13.
- Digital attribution findings are reported directionally and excluded from financial sizing.
- Acquired regions are flagged and excluded from cohort retention curves.

# Revenue Performance: Growth With Falling Quality

Every quarter beat prior year on revenue; every quarter lost gross margin.



## So what?

### Growth is being purchased.

Revenue rose 11.4% while gross profit rose only 7.4%. The gap is \$1.9M of profit the business grew into and then gave away.

### The trend is accelerating.

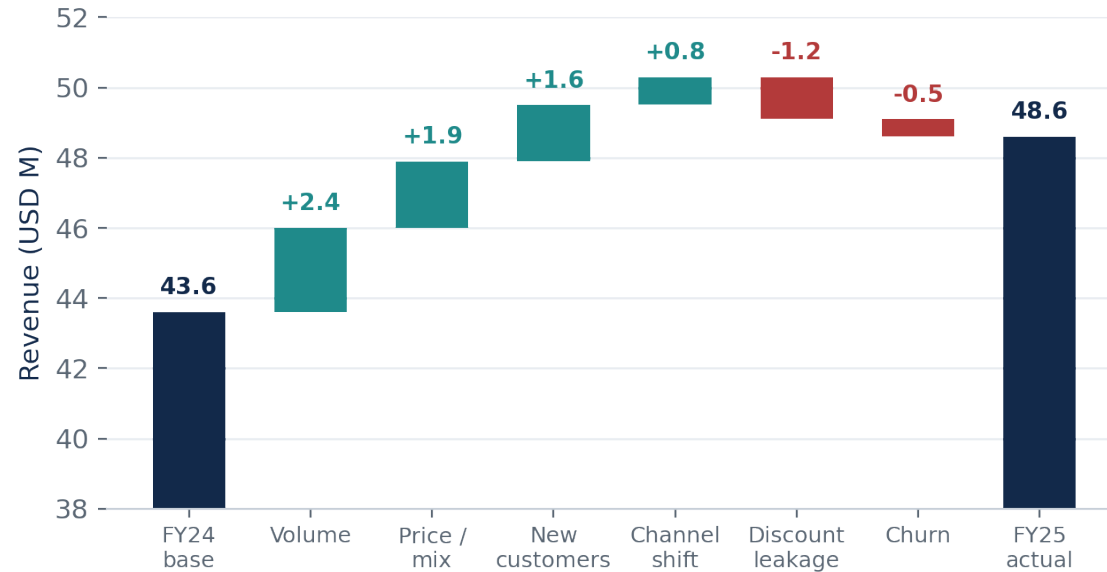
Margin fell 70 bps in H1 and a further 70 bps in H2. A straight-line continuation puts FY2026 at 35.4% - four points below plan.

### Q4 is the warning, not the win.

Q4 delivered record revenue of \$13.8M at the lowest margin of the year. The strongest quarter was the least profitable.

# Key Revenue Drivers: What Moved the \$5.0M

Four drivers added \$6.7M; two destroyed \$1.7M. The destructive two are controllable.



## Reading the bridge

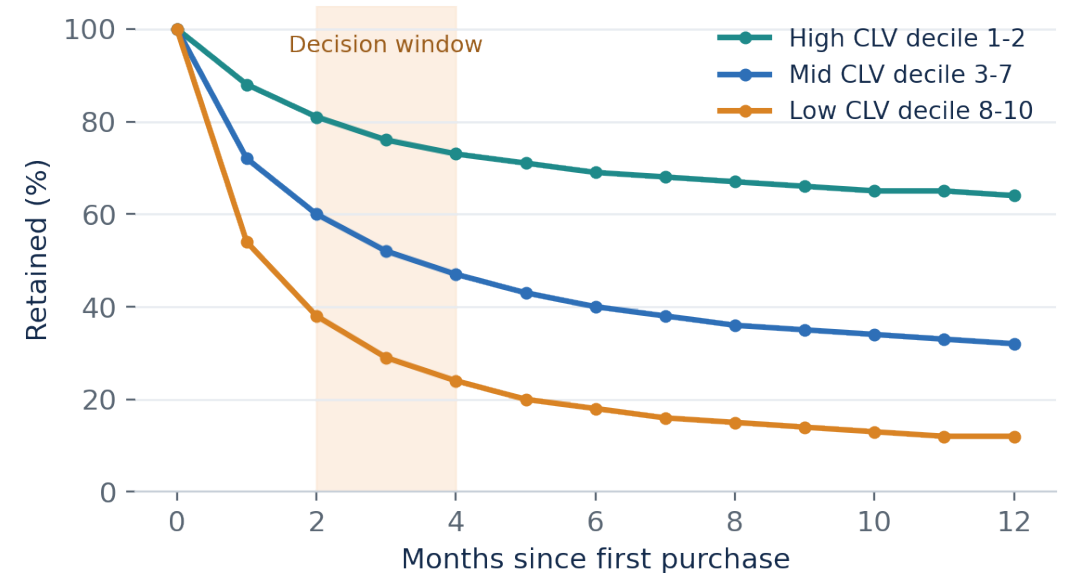
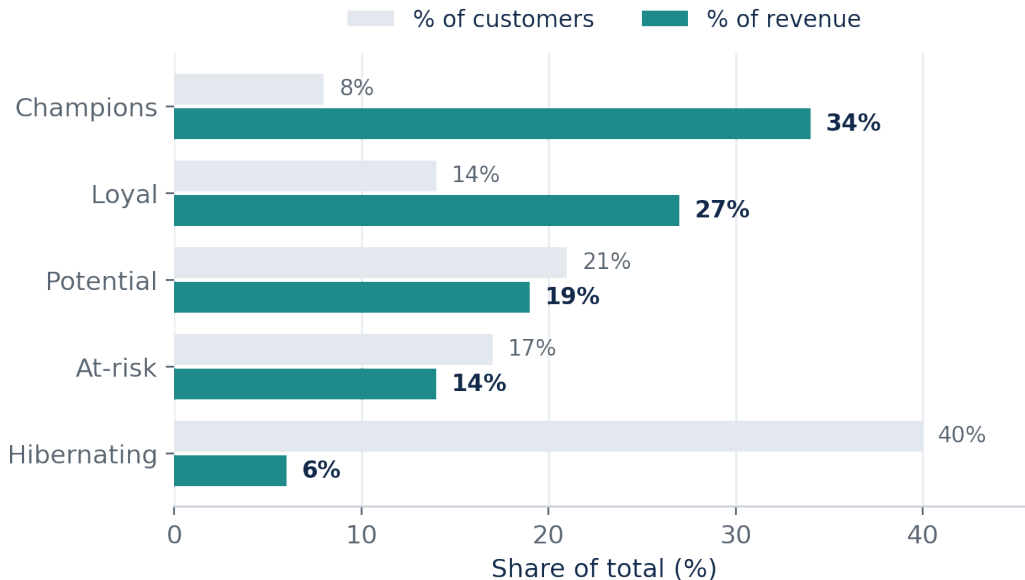
- **Volume (+\$2.4M)** came overwhelmingly from existing accounts buying more often, not from market expansion.
- **Price / mix (+\$1.9M)** is genuine quality growth, concentrated in two premium categories.
- **Discount leakage (-\$1.2M)** is revenue given away outside approved bands - 71% of it by eleven accounts.
- **Churn (-\$0.5M)** understates the problem: it captures lost revenue in-year, not the forward CLV that walked out.

## Concentration is the opportunity

The \$1.2M of discount leakage is not spread thinly across thousands of transactions. Eleven accounts and three product categories account for 71% of it, and every one of those concessions was approved manually, outside the pricing engine. A control that touches roughly forty decisions a month recovers the majority of the value - which is why Recommendation 2 is the cheapest and fastest-paying action in this report.

# Customer Value Concentration and Retention

22% of customers produce 61% of revenue - and their retention decision is made in months 2 to 4.



## So what?

### Value is fragile, not diversified.

Losing a single Champion account costs the equivalent of acquiring 41 Hibernating customers. Acquisition spend is currently allocated as if all customers were equal.

### The churn signal arrives early.

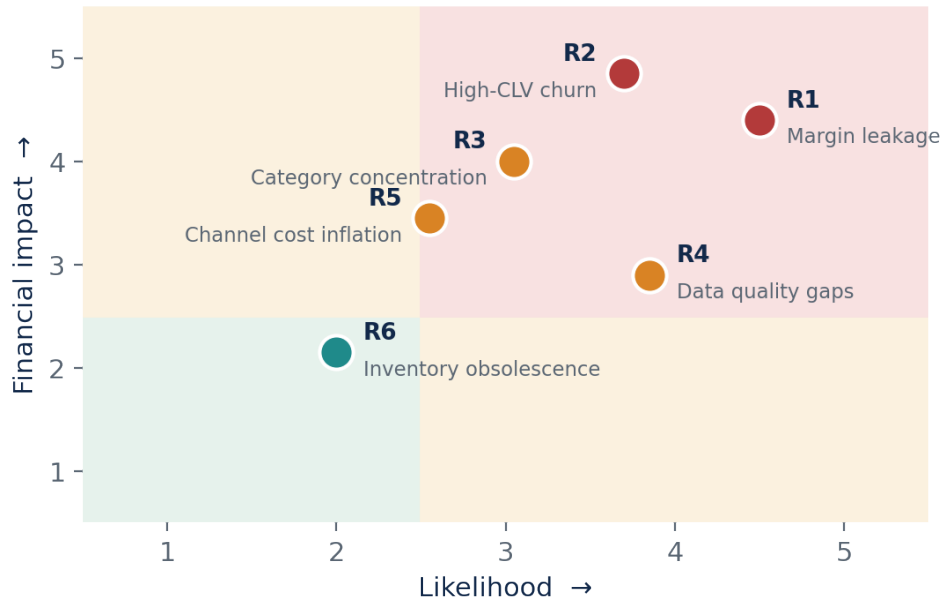
High-CLV accounts that lapse show detectable behaviour change 60-90 days before their final order. The model flags 18% of them today.

### Win-back has a shelf life.

Reactivation response falls from 14% at month 4 to under 3% by month 9. Speed of intervention, not depth of offer, drives recovery.

# Risk Areas and Exposure to the FY2026 Plan

Two risks are red today and together put an estimated \$6.8M of FY2026 gross profit in question.



| ID | Risk                       | Exposure | Owner | Mitigation                    |
|----|----------------------------|----------|-------|-------------------------------|
| R1 | Off-band discount leakage  | \$3.4M   | CCO   | Automated price-band controls |
| R2 | Churn of high-CLV accounts | \$3.4M   | CMO   | Predictive save programme     |
| R3 | Category concentration     | \$2.1M   | CPO   | Portfolio reallocation        |
| R4 | No single customer key     | Enabler  | CIO   | KPI contract, months 0-2      |
| R5 | Channel cost inflation     | \$0.9M   | CCO   | Renegotiate two partners      |
| R6 | Inventory obsolescence     | \$0.4M   | COO   | Existing S&OP process         |

### Do-nothing scenario

If no action is taken, the conservative model projects FY2026 gross margin of 36.6% against a 39.0% plan - a shortfall of approximately **\$5.9M in gross profit**, before any impact from the forward lifetime value of churned accounts. The exposure is not evenly spread across the year: two-thirds of it materialises in H2, after the point at which corrective action could still protect the full-year result.

# Stand up a predictive retention and win-back engine

Protect the 22% of customers that generate 61% of revenue.

## WHAT WE WILL DO

- Deploy the churn model into the CRM with a daily scored list of at-risk high-CLV accounts.
- Trigger a tiered save play within 72 hours of a flag: service outreach first, commercial concession only on escalation.
- Run win-back waves against lapsed accounts inside the month 2-4 decision window, where response is 14%.
- Replace blanket acquisition spend with CLV-weighted allocation across segments.

## WHY THE EVIDENCE SUPPORTS IT

- 18% of Champion and Loyal accounts currently carry a pre-churn signal.
- Model detects change 60-90 days ahead of the final order.
- A 3-point retention gain on these segments is worth \$2.1M of annual revenue.

### RECOMMENDATION 1 - BUSINESS CASE

|                   |          |
|-------------------|----------|
| Investment (yr 1) | \$0.85M  |
| 3-year benefit    | \$6.2M   |
| ROI               | 629%     |
| Payback           | 7 months |
| Owner             | CMO      |
| Confidence        | High     |

Benefit sized on the conservative scenario, net of programme cost. Full assumptions and sensitivity analysis are in the supporting analytical notebook.

# Enforce margin governance on discounting and concessions

The cheapest, fastest-paying action available: recover controllable leakage.

WHAT WE WILL DO

- Encode approved price bands in the pricing engine and block out-of-band quotes at entry, not at review.
- Move all concessions, credits and rebates on-system so leakage becomes measurable in real time.
- Introduce a weekly exception report to the CCO covering the eleven accounts driving 71% of leakage.
- Tie a portion of commercial incentive to gross margin, not revenue, from the FY2026 plan year.

WHY THE EVIDENCE SUPPORTS IT

- \$1.2M of leakage identified in FY2025, and it is a lower bound.
- 71% of it is concentrated in eleven accounts and three categories.
- Every concession was manually approved outside the pricing engine.

RECOMMENDATION 2 - BUSINESS CASE

|                   |           |
|-------------------|-----------|
| Investment (yr 1) | \$0.60M   |
| 3-year benefit    | \$4.4M    |
| ROI               | 633%      |
| Payback           | 4 months  |
| Owner             | CCO / CFO |
| Confidence        | High      |

Benefit sized on the conservative scenario, net of programme cost. Full assumptions and sensitivity analysis are in the supporting analytical notebook.

# Reallocate category and channel investment to measured return

Break the dependence on three categories before the market does it for us.

## WHAT WE WILL DO

- Shift investment from the two lowest-contribution categories into the two premium categories driving price/mix gains.
- Renegotiate the two channel partners whose cost-to-serve rose faster than the revenue they carry.
- Pilot value-based pricing in three categories in months 5-7, then scale on measured elasticity.
- Set a portfolio guardrail: no single category above 25% of gross profit by end FY2027.

## WHY THE EVIDENCE SUPPORTS IT

- Top three categories account for 62% of revenue and 68% of margin decline.
- Price/mix contributed +\$1.9M, concentrated in two under-invested categories.
- Channel cost inflation is running 4.2 points ahead of channel revenue growth.

## RECOMMENDATION 3 - BUSINESS CASE

|                   |                |
|-------------------|----------------|
| Investment (yr 1) | <b>\$1.40M</b> |
|-------------------|----------------|

|                |               |
|----------------|---------------|
| 3-year benefit | <b>\$7.1M</b> |
|----------------|---------------|

|     |             |
|-----|-------------|
| ROI | <b>407%</b> |
|-----|-------------|

|         |                  |
|---------|------------------|
| Payback | <b>11 months</b> |
|---------|------------------|

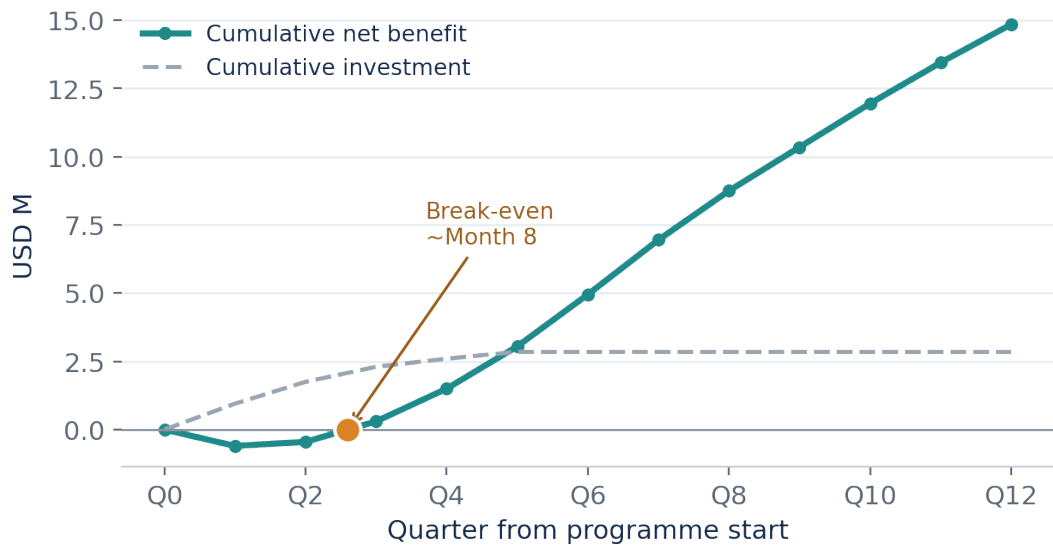
|       |                  |
|-------|------------------|
| Owner | <b>CPO / CCO</b> |
|-------|------------------|

|            |                    |
|------------|--------------------|
| Confidence | <b>Medium-high</b> |
|------------|--------------------|

Benefit sized on the conservative scenario, net of programme cost.  
Full assumptions and sensitivity analysis are in the supporting analytical notebook.

# ROI Projections and Financial Case

\$2.85M invested returns an estimated \$17.7M over three years; break-even falls in month 8.



|                              | Invest  | 3-yr benefit | Net      | ROI  | Payback |
|------------------------------|---------|--------------|----------|------|---------|
| Rec 1 Retention engine       | \$0.85M | \$6.20M      | \$5.35M  | 629% | 7 mo    |
| Rec 2 Margin governance      | \$0.60M | \$4.40M      | \$3.80M  | 633% | 4 mo    |
| Rec 3 Portfolio reallocation | \$1.40M | \$7.10M      | \$5.70M  | 407% | 11 mo   |
| TOTAL PROGRAMME              | \$2.85M | \$17.70M     | \$14.85M | 521% | 8 mo    |

Scenario range (3-year net benefit)

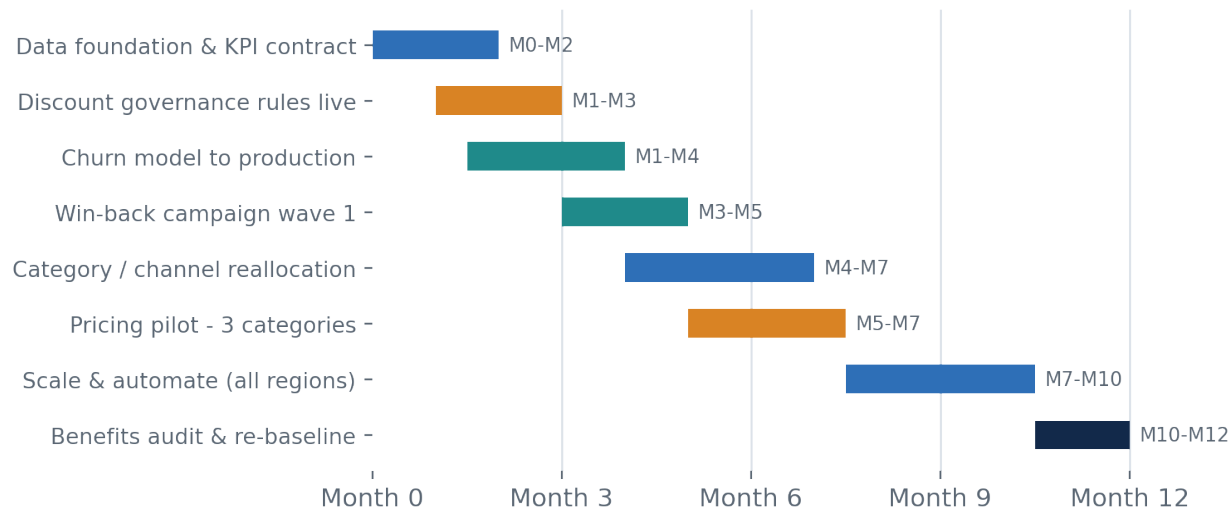
| Scenario                  | Net benefit | ROI  | Payback |
|---------------------------|-------------|------|---------|
| Conservative (used above) | \$14.85M    | 521% | 8 mo    |
| Base                      | \$19.40M    | 681% | 6 mo    |
| Stretch                   | \$24.10M    | 846% | 5 mo    |

Key assumptions and sensitivities

Benefits are modelled on measured FY2025 effect sizes, not vendor claims: a 3-point retention improvement in the Champion and Loyal segments, recovery of 60% of identified discount leakage, and a 1.4-point contribution-margin gain from reallocation. Benefits are discounted at the 9.5% corporate WACC and exclude any revenue synergy between the three recommendations. The case stays ROI-positive if benefits underperform by 45%; below that, Recommendation 3 falls short of hurdle rate and should be paused at the month-6 gate.

# Implementation Timeline and Stage Gates

Twelve months, three phases, two go/no-go gates. Value begins landing in Q2.



## PHASE 1 Months 0-3

### Foundation and quick wins

Single customer key, KPI contract, discount controls live. First leakage recovered in month 2.

## PHASE 2 Months 4-8

### Scale the value

Churn model in production, win-back wave 1, category reallocation and pricing pilot. Break-even in month 8.

## PHASE 3 Months 9-12

### Embed and audit

Automation across all regions, incentive changes effective, independent benefits audit and re-baseline.

### Stage gates

- **Gate 1 - month 3:** discount leakage run-rate reduced by 40% and churn model AUC holding above 0.80 in production. Failure pauses Phase 2 spend.
- **Gate 2 - month 6:** cumulative net benefit tracking within 20% of the conservative curve. Failure triggers a pause of Recommendation 3 and re-scoping.

# Decision Requested and Next Steps

## WE ASK THE EXECUTIVE COMMITTEE TO:

- **Approve** \$2.85M of FY2026 programme funding across the three recommendations, released in tranches against the two stage gates.
- **Assign** accountability: CMO for retention, CCO and CFO jointly for margin governance, CPO for portfolio reallocation.
- **Mandate** gross margin - not revenue - as the primary commercial incentive metric from the FY2026 plan year.
- **Commission** an independent benefits audit at month 12 before any further scaling investment.

## IF APPROVED, THE NEXT 30 DAYS

- Week 1-2: programme charter signed, data engineering resource confirmed, KPI definitions ratified by Finance.
- Week 3-4: price bands encoded and exception reporting live; first weekly leakage report to the CCO.

## THE DECISION IN ONE LINE

**Spend \$2.85M to protect an estimated \$14.85M.**

|                    |                         |
|--------------------|-------------------------|
| 3-year net benefit | <b>\$14.85M</b>         |
| Programme ROI      | <b>521%</b>             |
| Break-even         | <b>Month 8</b>          |
| Do-nothing cost    | <b>\$5.9M in FY2026</b> |